QUARTERLY INVESTOR REPORT

Cypress Technology Campus | Kansas City, MO

Investment	Cypress Technology Campus
Quarter	2Q 2019
Report Date	October 19, 2024
Sponsor	Keel & Compass Properties
Occupancy	90.7%

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Carrier-neutral meet-me room supports multiple fiber providers. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.9% on contributed capital. The facility is a purpose-built data center with 20 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Collections for the period were 93.1% of billed charges, with bad debt of 8.0% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 96.3% of billed charges, with bad debt of 6.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members. The facility is a purpose-built data center with 12 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Carrier-neutral meet-me room supports multiple fiber providers.

Investor Distributions

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Projected levered IRR is 13.1% with an equity multiple of 1.2x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital. Carrier-neutral meet-me room supports multiple fiber providers.

Carrier-neutral meet-me room supports multiple fiber providers. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Carrier-neutral meet-me room supports multiple fiber providers.

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Business Plan Progress

Projected levered IRR is 7.9% with an equity multiple of 1.48x over the hold period. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.2% on contributed capital.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Carrier-neutral meet-me room supports multiple fiber providers. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. The facility is a purpose-built data center with 9 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Collections for the period were 90.7% of billed charges, with bad debt of 6.9% of gross potential income. Carrier-neutral meet-me room supports multiple fiber providers. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. Service requests are tracked through a work-order system with an average completion time of 42 hours. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.5% on contributed capital. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Projected levered IRR is 4.1% with an equity multiple of 1.32x over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The facility is a purpose-built data center with 17 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Property Operations

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. Service requests are tracked through a work-order system with an average completion time of 27 hours.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 29 hours. Carrier-neutral meet-me room supports multiple fiber providers. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members.

Business Plan Progress

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The facility is a purpose-built data center with 4 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

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Disclaimer and Confidentiality

Time is of the essence with respect to each and every provision of this instrument. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MO. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Cypress Technology Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MO. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Cypress Technology Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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